**Depreciation Charges Often an Issue in Mergers.** Comparative depreciation charges at times become quite an issue in determining the fairness of proposed terms of consolidation.

*Example:* In 1924 a merger plan was announced embracing the Chesapeake and Ohio, Hocking Valley, Pere Marquette, "Nickel Plate," and Erie railroads. Some Chesapeake and Ohio stockholders dissented, and they convinced the Interstate Commerce Commission that the terms of the consolidation were highly unfair to their road. Among other matters they pointed out that the earnings of Chesapeake and Ohio in the preceding three years had in reality been much higher than stated, due to the unusually heavy charges made against them for depreciation and retirement of equipment.[5] A similar objection was made in connection with the projected merger of Bethlehem Steel and Youngstown Sheet and Tube in 1929, which plan was also defeated. Some figures on these two steel producers are given as shown in the following table.

**Concealed Depreciation.** That nothing can be taken for granted in security analysis is shown by the strange case of American Can, which until 1937 had failed to reveal details of its depreciation policy to its shareholders. During the years 1922–1936 it deducted annually a flat $2,000,000 for this purpose. A comparison with Continental Can—which charged about the same amount against a much smaller plant investment—would have suggested that American Can's earning power had been overstated. But the annual report for 1934 disclosed to stockholders for the first time that the company had also been charging sums to operating expenses for "replacements," without giving the amount. The fact (but not the amounts) that such charges had been made in 1935 and 1936 was also revealed in those years. Meanwhile Form 10-K for 1935, filed with the S.E.C., revealed that the amount of these extra

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Conversely, for cases of excessive depreciation, note: Depreciation charges of Acme Steel for 1932–1935 were found by the federal government to have been $555,000 too high. This amount, less income tax thereon of $104,000, was credited to surplus in 1936. (This is almost the exact opposite of the National Enameling case.) Chicago Yellow Cab Company in 1938 credited to surplus $483,000 for excess depreciation in former years.

[5] Large expenditures made by Chesapeake and Ohio upon its equipment in 1926–1928 and charged to operating expense were later claimed by the Interstate Commerce Commission to represent *capital* outlays. In 1933 this controversy was taken into the courts, and the Interstate Commerce Commission was sustained.